The government ends up getting excessive flows in small savings schemes. The cost of administration of these schemes is also relatively much higher as the administrative cost of post offices is far higher.

As these cost elements make the effective interest cost of small savings much higher than the interest rates state governments pay on their market loans, states have stopped taking loans from the NSSF. Even in the year of COVID-19, states have not taken loans from small savings despite their finances coming under heavy strain.

RBI has introduced reforms to enable the participation of small savers in government securities. Recently, RBI created a facility for direct bond subscription for retailers (RBI Retail Direct) by allowing retail buyers to open and maintain an account (Retail Direct Gilt Account) with RBI. This platform and account will give retail subscribers access to primary issuance of government securities and access to Negotiated Dealing System-Order Matching or NDS-OM for selling and buying government securities.

Some corporates like PFC have come up with retail corporate bond issues.

The government has also introduced Exchange Traded Bond Funds. Retail investors can participate in all these avenues. The smallest savers in rural areas can participate in the banking system through their Jan Dhan accounts and using digital channels.

Investment Avenues for NSSF Funds Have Also Dried Up

Aggregate deposits/balances in these small savings accounts at the end of financial year 2019–20 were Rs 17.82 lakh crore. These are estimated to be Rs 20.92 lakh crore at the end of 2020–21 as per the revised estimates presented at the time of Budget 2021–22. These are expected to further rise to Rs 24.33 lakh crore at the end of financial year 2021–22 as per estimates in Budget 2021–22. Small savings outstanding balances have grown at a